Credit unionism and the development of Barbados

By Dr Kevin Greenidge

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Remarks by Dr Kevin Greenidge, Governor of the Central Bank of Barbados, at the UWI (Cave Hill) Cooperative Credit Union's 40th Anniversary Dinner and Awards, Bridgetown, 24 October 2026.

Good evening.

It is a pleasure to join you in celebrating 40 years of the UWI (Cave Hill) Co-operative Credit Union. To the Board, management, staff, members and everyone who has contributed to this institution over four decades, congratulations.

On January 29, 1986, this Credit Union was established to meet the financial needs of the Cave Hill

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It was built

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That is a powerful statement of purpose. It says that the ultimate measure of this institution is not the size of its balance sheet, important though financial strength is. It is the difference the Credit Union makes to the people whose savings, hopes and trust it carries.

This anniversary also has personal meaning for me. I came to Cave Hill to study Management. In my first year, a visiting preacher who had never met me said I would one day teach people about economics, about the principle of the mustard seed, about saving, investing and stewardship. I chose to believe it, and I changed my degree to Economics. Standing before a credit union born on that same campus, I can say that the mustard seed is exactly what you have practised for 40 years: small, faithful contributions from many people, growing into something large enough to shelter a whole community.

The organisers invited me to speak about the importance of credit unionism to Barbados' economy and development. Let me offer one central thought: **credit unions are at their best when they help people become owners of their financial future, rather than simply users of financial products.**

That was the idea behind the cooperative movement from the beginning. Working people who faced limited access to formal finance joined together, pooled what they could afford and created institutions that would serve them. They did not wait until they possessed great wealth. They began with what they had, trusted one another and built something larger than any one member could have built alone. Barbadians knew this principle long before the first credit union: the meeting turn, where each person put in what they could and trusted the others to do the same. The credit union gave that trust rules, records and a vote.

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Members are not merely customers. They are

influence within a cooperative should not depend on how large an individual's account happens to be.

But ownership brings responsibility. It is not enough to hold membership shares and leave every decision to somebody else. Members should attend meetings, read financial reports, ask questions, vote in elections and take an interest in the institution's future. If too few people participate, the democratic character of the cooperative weakens, even when its rules remain unchanged.

The UWI Credit Union, with its roots in education and learning, is especially well placed to set an example. Let this be a movement in which informed members actively shape the institution they own, and in which younger members see a place for themselves in governance and leadership.

Ownership also begins with financial knowledge. Opening a savings account or receiving a loan can change someone's circumstances, but financial security requires more. People need to know how to budget, avoid unsustainable debt, build emergency savings, plan for retirement, understand investment risk and distinguish an attractive offer from a sound financial decision.

Think of a young person starting a first job, a parent trying to finance a child's education, or a small entrepreneur seeking the working capital to grow a business. A good credit union offers a product. A great credit union also offers the knowledge and guidance that allow that person to make a better decision and build financial independence over time.

That mission matters to the wider economy. Households that save consistently and borrow responsibly are better able to manage shocks. People , invest in eurial

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There is a larger national opportunity here. Barbados has worked hard since 2018 to restore economic stability, rebuild international reserves and reduce the burden of public debt. Those achievements have created room to plan for the future. Yet stability by itself does not create the productive economy we need. We must also invest more effectively, raise productivity, strengthen our capacity to earn foreign exchange and open opportunities for Barbadians to create and own businesses.

Credit unions have already shown that modest contributions from many people can be transformed into a substantial pool of domestic savings. Today, the credit union sector records more than 200,000 memberships and holds over $3 billion in assets. The next question is how that capital, managed prudently, can contribute to a more productive and resilient Barbados.

Consider renewable energy and energy efficiency. Viable projects can reduce exposure to imported fuel, strengthen energy security and lower costs over time. Consider agriculture and food production, where better financing can support equipment, storage, processing and more reliable supply. Consider tourism services, digital enterprises and businesses that can sell goods or services beyond our shores. These are areas in which productive investment can strengthen both household livelihoods and the national economy.

But let me be equally clear: a project does not become a good investment simply because it serves a national objective. The first duty of a credit union is to protect its members' interests. Capital, liquidity, diversification, professional analysis and the legal and supervisory framework must determine what is suitable for each institution. The savings entrusted to a credit union are not a pool of money available for speculative ventures.

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y before it can safely carry debt, and credit unions can help

BOSS+ bonds provide one example of how ordinary Barbadians can use an accessible investment instrument to help finance national development while earning a return. Government securities are only one part of the landscape, however. The broader objective is to build a culture in which people understand savings, debt, investment and ownership, including the different risks associated with each. A member who understands those differences is better positioned to build wealth over a lifetime.

As the credit union sector grows in importance, soundness becomes even more essential. The Protection of Depositors Act, 2026, which received assent in September, is a significant development for the movement. The Act provides for credit unions to join the national deposit insurance system for the first time, with protection taking effect once the legislation is brought into operation and the necessary implementation arrangements are completed. That is welcome recognition of the movement's place in our financial system.

Deposit insurance, however, is a safety net, not a substitute for sound management. Our 2025 Financial Stability Report, published jointly with the Financial Services Commission in August, confirmed that the financial system remains stable. It also highlighted the need for credit unions to monitor mortgage concentrations, preserve capital buffers and strengthen profitability. Members should expect careful lending decisions, sound liquidity management, strong internal controls and boards that understand the risks they oversee. The Financial Services Commission's supervisory role and the sector's own commitment to good governance remain fundamental to protecting members' savings.

Technology creates another opportunity for the

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Bridgetown and AffinityPlus, have been on that rail from the first night. The rail is national infrastructure; and since launch, BiMPay has carried more than 3.5 million transactions worth $6 billion, with 95.6 percent of all payment attempts succeeding; unsuccessful attempts result either from incorrect payment details, which the system rightly rejects, or from an institution failing to respond in time. The BiMPay e-wallet is an additional service that institutions can make available to their customers. The first weeks brought problems, especially with some payroll files, and we dealt with them in the open. The lesson for every institution still to join is that readiness is not a formality.

I encourage the UWI Credit Union and other eligible institutions to work towards the operational and regulatory readiness needed to join this modern payments system. The benefits can be tangible. A small business paid immediately can manage its cash flow more effectively. A customer can transfer money without having to navigate separate banking networks. Over time, with proper consent and privacy safeguards, a reliable digital record of receipts can also help responsible lenders assess the activity and creditworthiness of smaller and sometimes informal enterprises.

But digital progress must remain people-centred. Cybersecurity, fraud prevention, accessible services and support for members who are less comfortable with technology are not optional extras. Modernisation should make a cooperative easier to use without making the people it was created to serve feel excluded.

All of this places greater demands on leadership. Voluntary service remains part of the cooperative tradition, but goodwill alone cannot govern a modern financial institution. Directors and committee knowledge, to ask

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become vacant.

As you mark this anniversary, I would invite members and leaders to consider three questions. Are we helping members build lasting financial capability, not simply extending credit? Are we putting the savings entrusted to us to work responsibly in ways that strengthen members and Barbados? And are we preparing younger people to take ownership of the institution and carry its cooperative principles forward?

The answers will matter more over the next 40 years than any individual product, technology or annual result.

Tonight's awards rightly honour those whose service helped bring the UWI Credit Union to this milestone. Their example reminds us that the value of a cooperative is measured not only in assets or surpluses, but in the opportunities it opens: a home acquired, a degree completed, a business established, a family better prepared for uncertainty, or a younger member inspired to lead.

That is the legacy worth protecting and extending. It takes us back to the institution's founding promise: "Not for Profit But for Service."

Forty years ago, a seed was planted on the Cave Hill campus. Through the contributions, trust and commitment of generations of members, that seed has grown into an institution that has helped families build more secure futures.

May the next 40 years produce an even greater harvest of opportunity, financial independence and shared prosperity for Barbados.

(Cave Hill)
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